

24STLC02468 24STLC02468

County: los-angeles

Division: Civil Law and Motion

Department: 26

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Case Number: 24STLC02468 Hearing Date: August 19, 2026 Dept: 26

TENTATIVE RULING:

Plaintiff Giovanni Gonzalez's Motion for Terminating
Sanctions is granted.

Defendant LA Auto Center, LLC's Answer filed on September
20, 2024, is stricken.

Order to Show Cause Re: Entry of Default is set for
09/16/2026 at 9:30 am in Department 26 at the Spring Street Courthouse.

Analysis:

On April 4, 2024, Plaintiff Giovanni Gonzalez ("Plaintiff") filed the instant action for (1) Violation of Consumers Legal Remedies Act, Civil Code § 1750 et seq; (2) Violation of California Business and Professions Code § 17200, et seq., Unlawful Acts or Practices; (3) Claim Against Surety; and (4) Violation of Code of Civil Procedure §§ 1281.97 & 1281.99, against Defendant LA Auto Center, LLC ("Defendant LA Auto") and Jet Insurance Company ("Defendant Jet"). Following Defendant LA Auto's failure to file a responsive pleading, the Court entered its default on June 26, 2024. Defendant LA Auto filed a Motion to Vacate Default, which the Court granted on September 12, 2024. (Minute Order, 09/12/24.) Defendant LA Auto filed its Answer on September 20, 2024.

Plaintiff filed a Motion to Compel Arbitration, for Court to Pick Arbitration Forum, Request for Stay, and Requests for an Order of Costs and Fees Related to the Arbitration, which the Court granted on February 27, 2025.

(Minute Order, 02/27/25.) The order granting that motion was entered on March 28, 2025.

On August 20, 2025, Defendant LA Auto substituted in new counsel. Plaintiff dismissed Defendant Jet from the action on August 28, 2025. The Court scheduled a status conference for February 6, 2026, which it then continued to June 17, 2026. Plaintiff filed a Motion to Lift Stay that the Court granted on June 11, 2026. (Minute Order, 06/11/26.) In the interim, Plaintiff filed the instant Motion for Terminating Sanctions on May 15, 2026. Defendant LA Auto filed an opposition on August 13, 2026, and Plaintiff replied on the same day.

Discussion

Plaintiff moves for terminating sanctions based on Defendant LA Auto materially breaching the parties' arbitration agreement, violating the Court's order compelling arbitration, and repeatedly refusing to pay arbitration fees, resulting in the arbitration proceeding being closed. The Motion is brought pursuant to Code of Civil Procedure sections 1281.97 to 1281.99. Under section 1281.98, when a drafting party fails to timely pay arbitration fees, it is in material breach of the agreement and in default of the arbitration. (Code Civ. Proc., § 1281.98, subd. (a)(1).) The drafting party also waives the right to arbitration by such conduct. (Code Civ. Proc., § 1281.98, subd. (a)(1).) Finally, this conduct authorizes terminating sanctions against the drafting party by an order striking out all or part of its pleadings. (Code Civ. Proc., § 1281.99, subd. (b)(2).)

Plaintiff's Motion is supported by a declaration attesting to the following facts. Plaintiff sent a pre-filing letter and demand for arbitration to Defendant LA Auto on May 26, 2023. (Motion, Heydari Decl., ¶15.) Plaintiff's request for arbitration with the American Arbitration Association ("AAA") was accepted on November 8, 2023. (Id. at ¶8.) Defendant timely failed to pay the arbitration fees and AAA closed the arbitration proceeding. (Id. at ¶¶10-11.) Following the filing of this action and the Court order compelling arbitration, Plaintiff again filed with AAA, which invoiced the parties for their arbitration fees. (Id. at ¶¶13-15 and Exh. 2.) When Defendant LA Auto again failed to pay, Plaintiff provided an extension of the payment deadline. (Id. at ¶¶16-18.) Defendant LA Auto still failed to pay and AAA closed the proceeding again. (Id. at ¶¶18-20.) Defendant LA Auto's conduct has caused Plaintiff to incur substantial delay, expense, and prejudice. (Id. at ¶¶21-24.)

Based on this evidence, which the opposition does not dispute, the Court finds Defendant LA Auto to be in material breach of the arbitration agreement and in default of the arbitration. Unless the Court finds substantial justification or that other circumstances make the imposition of a terminating sanction unjust, it may strike Defendant LA Auto's Answer. (Code Civ. Proc., § 1281.99, subd. (b)(2)(A).) Defendant LA Auto's opposition spans a single page. It is supported by the declaration of its counsel, Victor Meyen, Esq., who declares that significant confusion with the case resulted in the motions and court papers not being sent to him for months. (Opp., Meyen Decl., ¶3.) It is unclear what confusion caused this delay in the receipt of papers. Nor does the Court find defense counsel's declaration of lack of notice from August 20, 2025 to April 27, 2026 credible. Defense counsel appeared for the Status Conference re: Arbitration on February 6, 2026 and waived notice. (Minute Order, 02/06/26.)

More importantly, it is unclear how any purported lack of notice of court proceedings substantially justified Defendant LA Auto's failure to pay the invoices sent by AAA. The opposition does not contend that Defendant LA Auto lacked notice of the arbitration proceedings or invoices. Defendant LA Auto's repeated insistence in the opposition that it would prefer a trial suggests a deliberate disregard for this Court's order compelling the parties to arbitration in accordance with the controlling arbitration agreement.

Finally, the Court notes that the opposition fails entirely to address the moving statutes. Rather the sole citation to legal authority in the memorandum is to Code of Civil Procedure, § 2023.030, for the proposition that Plaintiff did not comply with its meet-and-confer requirement, but that code section applies to discovery motions. It is inapplicable here. The carelessness of the opposition only adds to the impression that Defendant's course of conduct lacks any substantial justification.

Therefore, the Court finds that terminating sanctions are warranted for Defendant LA Auto's material breach of the arbitration agreement and default of the arbitration proceedings. (Code Civ. Proc., § 1281.98(c)(2), § 1281.99(b)(2)(A).)

Conclusion

Plaintiff Giovanni Gonzalez's Motion for Terminating

Sanctions is granted.

Defendant LA Auto Center, LLC's Answer filed on September 20, 2024, is stricken.

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Moving party to give notice.